



Rating
Sell

Asia
China

Consumer
Retail / Wholesale Trade

Company
Pop Mart

Reuters
9992.HK

Bloomberg
9992 HK

Exchange
HSI

Ticker
9992

Date
14 April 2026

Company Update

Price at 14 Apr 2026 (HKD)	161.40
Price target - 12mth (HKD)	157.00
52-week range (HKD)	335.40 - 141.80
HANG SENG INDEX	25,661

Mar-26 Performance: Intense Product Launches & Home Appliance Focus

China Mar online sales grew by 106% YoY on a low base (20% below 2H25 sales levels)

We track Pop Mart's China online sales (Tmall/Taobao + Douyin) using Moojing e-commerce data. **In Mar-26, sales showed 106% YoY growth, representing a 5% increase MoM.** However, comparing Feb&Mar sales to the 2H25 average reveals a ~20% decline, suggesting potential sales challenges as the base becomes higher from 2Q onwards. **For 1Q26, Pop Mart's e-commerce growth is estimated at 86% YoY, consistent with the 85% YoY growth observed in 4Q25.**

Pop Mart is scheduled to release its 1Q26 operational updates in May. **Based on recent discussions with investors, the market anticipates 80-100% YoY growth for the China market across all channels in 1Q26. For overseas sales, market expectations point towards a continuous QoQ decline compared to 4Q25, though the exact magnitude remains uncertain.** In our base case, YoY growth for the overseas market is projected to remain at 100% (equivalent to a 10% QoQ decline). Should the QoQ decline prove more severe than this base case, it would be considered a negative for the full-year forecast.

Pop Mart's Intense 2Q26 Product Pipeline and April Home Appliance Introduction

Entering 2Q26, Pop Mart is set to maintain its aggressive new product launch schedule as the key strategy to stimulate sales. However, despite the increased product releases, we observe signs of "fashion fatigue" among collectors. By prioritizing sales volume over perceived scarcity, this strategy has inadvertently raised the bar for repurchase among Pop Mart's dedicated collectors. Thus, we believe that while an intense product pipeline may initially boost demand, its impact will likely diminish later.

Recent product launches have been met with mixed to negative feedback in global social media discussions. The "Monster x Sanrio" series, launched on March 12th, received relatively weak feedback, primarily attributed to a perceived lack of design innovation, with the secondary price in China dropping sharply after the debut (now sold at 40% discount). Similarly, the "Monster x FIFA" series, launched on April 2nd, has also received comparatively weak feedback, possibly due to a limited overlap between "The Monster" target audience and football fans.

Looking ahead, Pop Mart's official page indicates the introduction of the "Twinkle

Valuation & Risks

Sammi Xu
Research Analyst
+852-2203-5415

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-26.0	-20.8	1.3
HANG SENG INDEX	0.8	-4.4	22.7

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	49.3
Net debt/equity (%)	-67.2
Book value/share (CNY)	24.89
Price/book (x)	5.7
Net interest cover (x)	-
Operating profit margin (%)	42.3

Source: Deutsche Bank

Deutsche Bank AG/Hong Kong

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Twinkle - Moon Gelato series" on Apr 17th. As this IP is currently considered the "scarcest" IP in China, we anticipate positive sales and feedback domestically, though its traction in overseas markets may be limited. A new Skull Panda series will also be introduced on Apr 17th; however, the previous "My Little Pony - Skull Panda" did not generate the expected level of discussion in overseas markets.

Pop Mart management previously announced in their annual results that a new home appliance product line would be introduced on JD in April; its brand reception and sales performance will also be noteworthy.

China secondary market trends & our recent downgrade

Secondary market prices are a crucial indicator of an IP's popularity and its supply-demand dynamics. Labubu-related products continue to experience cooling demand, likely due to the diminished scarcity of existing collections following significant sales volumes in 2025 and 2026 CNY. **We believe "Twinkle Twinkle" is currently the sole Pop Mart IP considered "scarce" in China. However, its secondary market price has begun trading at a discount too, signaling early signs of "fashion fatigue," similar to the trend observed with Labubu in 3Q25.** "Skull Panda," despite high market expectations, has not yet generated similarly strong feedback.

We hold a different view on Pop Mart's business model compared to the market, which views it as a "platform company" capable of continuously generating new sales through multiple blockbuster IPs and new products. Instead, we argue that Labubu serves as the critical "hook" for the company, attracting customers to stores and driving stronger sales for other IP series and increased units purchased per transaction due to the long queues and perceived sense of "premium" & "scarcity". Without Labubu's strong appeal, the brand awareness and sales traction of other Pop Mart IPs would likely be significantly weaker, particularly in overseas markets.

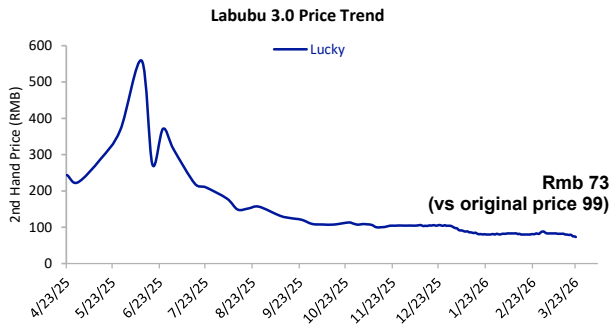
We downgraded to Sell as we think the 4Q25 deceleration of Pop Mart has raised concerns for the 2026 outlook (please refer to our [recent downgrade report](#)). As collectible IP is a cyclical business, we believe "The Monster," its most popular IP, may have already peaked, and there is no other blockbuster IP currently that can generate similar global demand. Thus, this fading overseas traction may pressure Pop Mart's 2026 outlook, and it is too early to identify the turning point.

Forecasts and ratios				
Year End Dec 31	2024A	2025A	2026E	2027E
Sales (CNYm)	13,037.7	37,120.1	42,495.8	44,316.4
EBITDA (CNYm)	4,570.6	18,008.4	18,655.1	18,964.0
Reported NPAT (CNYm)	3,125.5	12,775.7	13,528.0	13,714.6
Reported EPS FD(CNY)	2.35	9.58	10.20	10.47
DB EPS FD(CNY)	2.35	9.58	10.20	10.47
DB EPS growth (%)	190.6	308.4	6.4	2.7
PER (x)	17.3	19.7	13.8	13.5
EV/EBITDA (x)	10.5	13.2	8.9	8.2
DPS (net) (CNY)	0.81	2.38	2.56	2.59
Yield (net) (%)	2.0	1.3	1.8	1.8

Source: Deutsche Bank estimates, company data

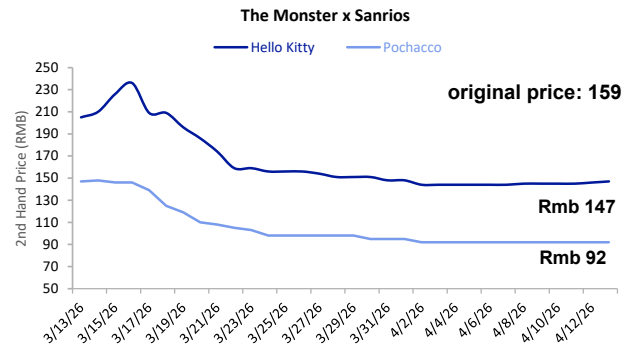


Figure 1: Pop Mart - "Labubu 3.0" 2nd hand price



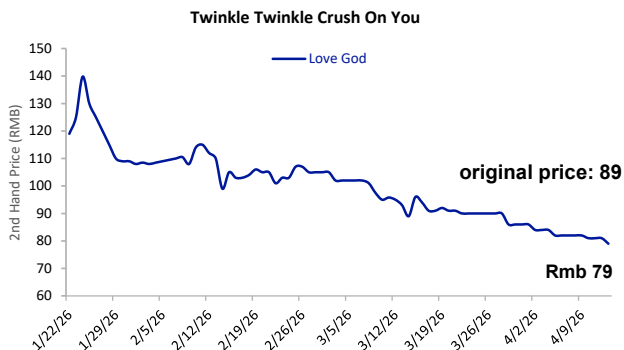
Source : Qiandao, Deutsche Bank estimate

Figure 2: Pop Mart - "The Monster x Sanrio" series



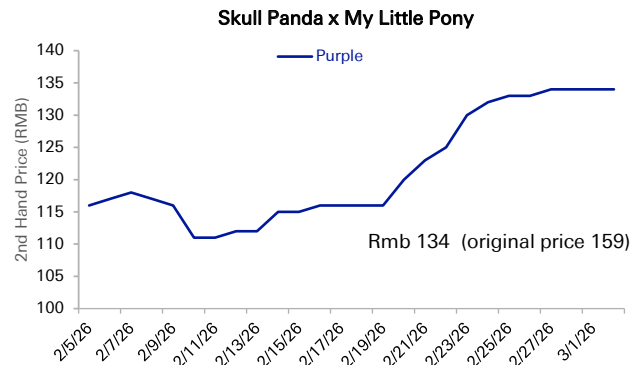
Source : Qiandao, Deutsche Bank estimate

Figure 3: Pop Mart - Twinkle Twinkle latest series



Source : Qiandao, Deutsche Bank estimate

Figure 4: Pop Mart - "Skull Panda x My Little Pony" 2nd hand price



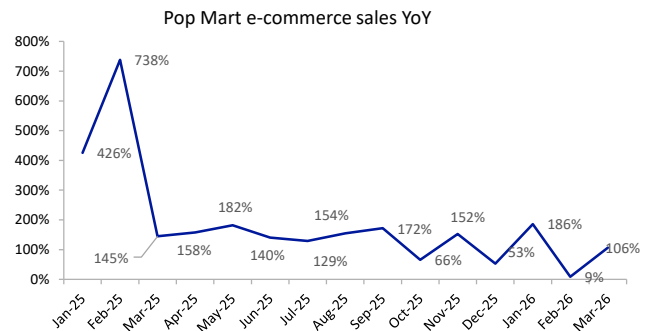
Source : Qiandao, Deutsche Bank estimate

Figure 5: China e-commerce sales GMV



Source : Moojing, Deutsche Bank estimate

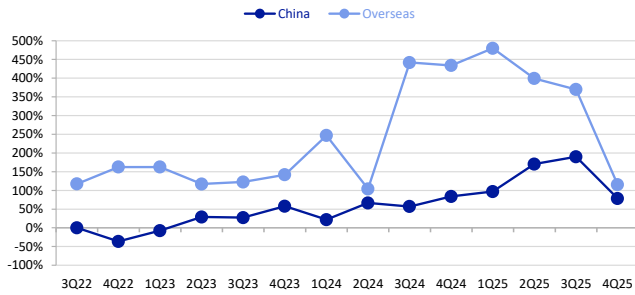
Figure 6: China e-commerce sales growth



Source : Moojing, Deutsche Bank estimates



Figure 7: Pop Mart - reported quarterly growth trend



Source : Company data, Deutsche Bank estimates

Figure 8: Pop Mart 2025 quarterly sales breakdown

Rmb mn	Quarterly revenue forecast								YoY				QoQ			
	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q25	2Q25	3Q25	4Q25	1Q25	2Q25	3Q25	4Q25
China Sales	1,408	2,113	2,146	3,219	2,775	5,508	6,224	6,344	97%	161%	190%	97%	-14%	99%	13%	2%
Overseas	415	622	1,166	1,949	2,371	3,223	5,474	5,200	472%	418%	370%	167%	22%	36%	70%	-5%
Asia	319	478	925	1,388	1,422	1,429	2,475	2,685	346%	199%	168%	93%	2%	0%	73%	8%
North America	73	109	186	434	780	1,485	2,538	2,003	970%	1257%	1265%	362%	80%	90%	71%	-21%
Europe, Australia, and others	23	35	55	127	168	309	461	513	630%	795%	745%	303%	32%	84%	49%	11%
Overall	1,823	2,735	3,312	5,168	5,145	8,731	11,698	11,545	182%	219%	253%	123%	0%	70%	34%	-1%

Source : company data, Deutsche Bank estimates

Figure 9: Pop Mart 2026 quarterly forecast based on our model

	Quarterly revenue forecast				YoY				QoQ			
	1Q26E	2Q26E	3Q26E	4Q26E	1Q26E	2Q26E	3Q26E	4Q26E	1Q26E	2Q26E	3Q26E	4Q26E
China Sales	5,133	5,508	6,535	6,662	85%	0%	5%	5%	-19%	7%	19%	2%
Overseas	4,741	4,836	4,594	4,273	100%	50%	-16%	-18%	-9%	2%	-5%	-7%
Asia	2,289	2,377	2,351	2,357	100%	50%	-13%	-21%	-15%	4%	-1%	0%
North America	1,717	1,781	1,777	1,502	120%	20%	-30%	-25%	-14%	4%	0%	-15%
Europe, Australia, and others	736	677	466	413	337%	119%	1%	-19%	43%	-8%	-31%	-11%
Overall	9,874	10,344	11,129	10,934	92%	18%	-5%	-5%	-14%	5%	8%	-2%
Overall Growth					46%		-5%	-5%				

Source : Company data, Deutsche Bank estimates

14 April 2026

Retail / Wholesale Trade

Pop Mart



Model updated: 25 March 2026

Running the numbers

Asia

China

Retail / Wholesale Trade

Pop Mart

Reuters: 9992.HK

Bloomberg: 9992 HK

Sell

Price (14 Apr 26) HKD 161.4

Target Price HKD 157.0

52 Week range HKD 141.80 - 335.40

Market cap (m) HKDm 214,104
USDm 27,334

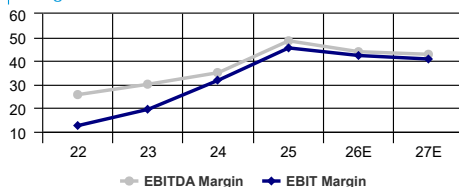
Company Profile

Pop Mart dominates China's pop toy market as its largest and fastest-growing player, with proprietary products accounting for over 90% of its revenue. The company leverages strong IP development and an expansive global retail footprint, with its networks exceeding 700 stores by the end of 2025. The "Monster" (LABUBU) series, its flagship IP, has achieved global recognition, establishing itself as

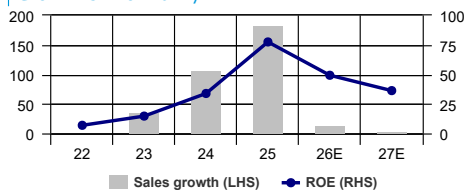
Price Performance



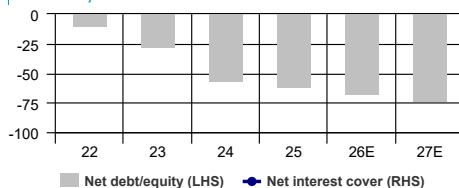
Margin Trends



Growth & Profitability



Solvency



Sammi Xu

+852 2203 5415

sammi.xu@db.com

Fiscal year end 31-Dec

Financial Summary

	2022	2023	2024	2025	2026E	2027E
DB EPS (CNY)	0.35	0.81	2.35	9.58	10.20	10.47
Reported EPS (CNY)	0.35	0.81	2.35	9.58	10.20	10.47
DPS (CNY)	0.09	0.28	0.81	2.38	2.56	2.59
BVPS (CNY)	5.0	5.8	8.0	16.6	24.9	32.8
Weighted average shares (m)	1,366	1,338	1,327	1,330	1,326	1,310
Average market cap (CNYm)	31,275	25,490	53,856	250,935	186,809	186,809
Enterprise value (CNYm)	30,579	23,414	47,937	237,524	165,104	155,819

Valuation Metrics

P/E (DB) (x)	65.8	23.6	17.3	19.7	13.8	13.5
P/E (Reported) (x)	65.8	23.6	17.3	19.7	13.8	13.5
P/BV (x)	3.33	3.15	10.39	10.43	5.66	4.29
FCF Yield (%)	1.7	6.3	8.2	1.8	7.1	7.6
Dividend Yield (%)	0.4	1.5	2.0	1.3	1.8	1.8
EV/Sales (x)	6.6	3.7	3.7	6.4	3.9	3.5
EV/EBITDA (x)	25.7	12.3	10.5	13.2	8.9	8.2
EV/EBIT (x)	52.4	19.0	11.5	14.1	9.2	8.6

Income Statement (CNYm)

Sales revenue	4,617	6,301	13,038	37,120	42,496	44,316
Gross profit	2,655	3,864	8,708	26,765	30,312	31,386
EBITDA	1,188	1,899	4,571	18,008	18,655	18,964
Depreciation	605	669	416	1,118	685	885
Amortisation	0	0	0	0	0	0
EBIT	583	1,231	4,154	16,890	17,970	18,079
Net interest income/(expense)	0	0	0	0	0	0
Associates/affiliates	27	33	48	70	70	70
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	29	152	163	76	0	140
Profit before tax	640	1,416	4,366	17,037	18,040	18,289
Income tax expense	164	327	1,057	4,025	4,262	4,320
Minorities	0	6	183	236	250	254
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	476	1,082	3,125	12,776	13,528	13,715
DB adjustments (including dilution)	0	0	0	0	0	0
DB Net profit	476	1,082	3,125	12,776	13,528	13,715

Cash Flow (CNYm)

Cash flow from operations	891	1,991	4,954	4,954	14,659	15,471
Net Capex	-348	-392	-517	-517	-1,445	-1,374
Free cash flow	543	1,598	4,438	4,438	13,215	14,097
Equity raised/(bought back)	-634	-334	-78	-78	0	0
Dividends paid	-220	-122	-378	-378	-3,194	-3,350
Net inc/(dec) in borrowings	0	0	0	0	0	0
Other investing/financing cash flows	22	-363	-418	-418	-1,475	-1,209
Net cash flow	-289	780	3,563	3,563	8,546	9,538
Change in working capital	-113	139	246	246	-49	412

Balance Sheet (CNYm)

Cash and other liquid assets	685	2,078	6,109	13,775	22,321	31,859
Tangible fixed assets	449	653	739	1,418	2,028	2,406
Goodwill/intangible assets	147	116	135	209	481	720
Associates/investments	13	8	11	10	10	10
Other assets	7,287	7,113	7,875	16,434	18,079	18,961
Total assets	8,580	9,969	14,871	31,845	42,918	53,955
Interest bearing debt	0	0	0	0	0	0
Other liabilities	1,615	2,188	3,986	9,449	9,938	10,356
Total liabilities	1,615	2,188	3,986	9,449	9,938	10,356
Shareholders' equity	6,963	7,770	10,684	22,278	32,612	42,977
Minorities	2	10	201	375	625	879
Total shareholders' equity	6,965	7,780	10,885	22,652	33,237	43,855
Net debt	-685	-2,078	-6,109	-13,775	-22,321	-31,859

Key Company Metrics

Sales growth (%)	2.8	36.5	106.9	184.7	14.5	4.3
DB EPS growth (%)	-43.8	132.0	190.6	308.4	6.4	2.7
EBITDA Margin (%)	25.7	30.1	35.1	48.5	43.9	42.8
EBIT Margin (%)	12.6	19.5	31.9	45.5	42.3	40.8
Payout ratio (%)	24.8	34.7	34.6	24.8	25.1	24.8
ROE (%)	6.9	14.7	33.9	77.5	49.3	36.3
Capex/sales (%)	7.5	6.2	4.0	1.4	3.4	3.1
Capex/depreciation (x)	0.6	0.6	1.2	0.5	2.1	1.6
Net debt/equity (%)	-9.8	-26.7	-56.1	-60.8	-67.2	-72.6
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Investment Thesis

Outlook

Established in 2010, Pop Mart operates as a designer toy company based in China, globally distinguished for popularizing the "blind box" collectibles model. By strategically leveraging proprietary and licensed Intellectual Properties (IPs), such as the Monster or Labubu, the company has successfully fostered a passionate international collector base, thereby integrating art, design, and a distinctive purchasing experience to cultivate substantial market engagement. Labubu experienced exceptional performance in global markets, which has played a critical role to Pop Mart's success in 2024-2025; however, recent weakening trends of Labubu suggest potential uncertainty for Pop Mart's 2026 sales forecasts. We assign a SELL rating after a decelerating trend in 4Q25 after the company reported 2025 annual result. Although we commend management's demonstrated strong IP operating capabilities in driving the international expansion of China's pop-toy industry, this factor does not, at present, alleviate our cautious outlook.

Valuation

We use the discounted cash flow (DCF) method to value Pop Mart. Our DCF assumptions include: 1.7% risk-free rate, 1.15 beta, a 6% market risk premium and a WACC of 7.9%. We employ the P/E method as a cross check. Our DCF-based target price implies a 15x 2026E P/E.

Risks

Downside Risks: (1) Faster than expected existing IP sales momentum globally. (2) A new blockbuster IP introduced sooner than anticipated. (3) strong preogress of Labubu movie & other innovative product types.



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
Pop Mart	9992.HK	151.5 (HKD) 13 Apr 2026	8, 15

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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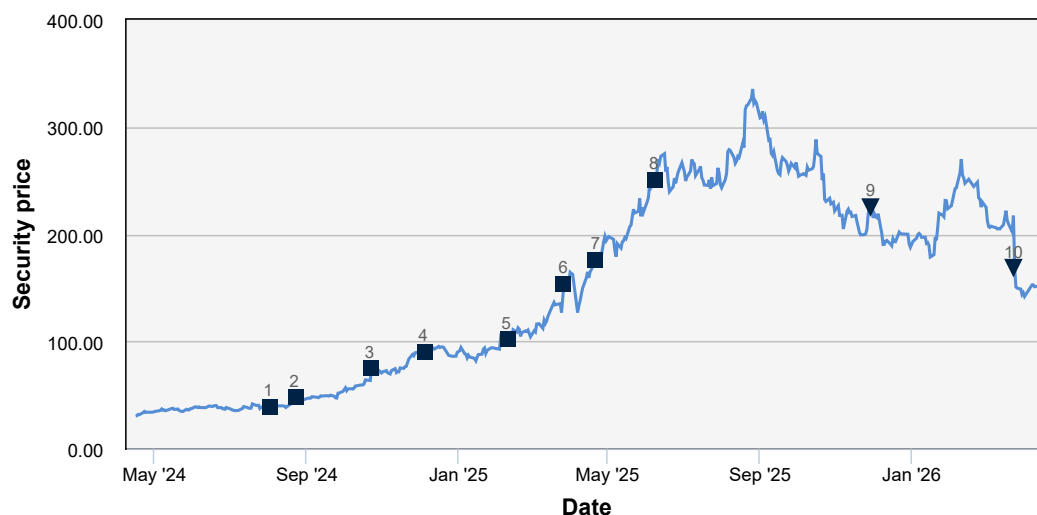
Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Sammi Xu.



Historical recommendations and target price: Pop Mart (9992.HK)

(as of 04/13/2026)



Current Recommendations

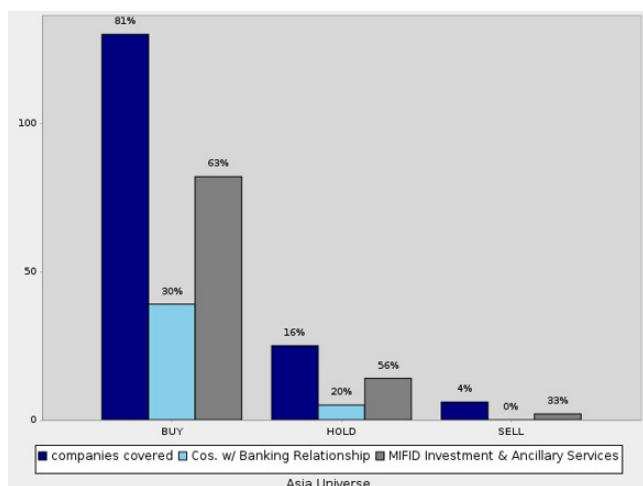
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	08/02/2024	Buy, Target Price Change HKD 48.00, Current Price HKD 39.10 Jessie Xu**	6.	03/27/2025	Buy, Target Price Change HKD 163.00, Current Price HKD 153.70 Jessie Xu**
2.	08/23/2024	Buy, Target Price Change HKD 54.00, Current Price HKD 47.75 Jessie Xu**	7.	04/22/2025	Buy, Target Price Change HKD 200.00, Current Price HKD 175.90 Jessie Xu**
3.	10/23/2024	Buy, Target Price Change HKD 88.00, Current Price HKD 75.20 Jessie Xu**	8.	06/09/2025	Buy, Target Price Change HKD 303.00, Current Price HKD 250.80 Jessie Xu**
4.	12/05/2024	Buy, Target Price Change HKD 108.00, Current Price HKD 89.70 Jessie Xu**	9.	11/30/2025	Downgraded to Hold, Target Price Change HKD 228.00, Current Price HKD 224.80 Sammi Xu
5.	02/10/2025	Buy, Target Price Change HKD 114.00, Current Price HKD 102.30 Jessie Xu**	10.	03/25/2026	Downgraded to Sell, Target Price Change HKD 157.00, Current Price HKD 168.30 Sammi Xu



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold") recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the "Cos. w/ Investment Banking relationship" bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



Additional Information

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David Folkerts-Landau

Group Chief Economist and Global Head of Research

Pam Finelli
Global Chief Operating Officer
Research

Steve Pollard
Global Head of Company
Research and Sales

Jim Reid
Global Head of
Macro and Thematic Research

Tim Rokossa
Head of Germany
Research

Gerry Gallagher
Head of European
Company Research

Matthew Barnard
Head of Americas
Company Research

Peter Milliken
Head of APAC
Company Research

Debbie Jones
Global Head of Sustainability
and Data Innovation, Research

Sameer Goel
Global Head of EM & APAC
Research

Francis Yared
Global Head of Rates Research

George Saravelos
Global Head of FX Research

Peter Hooper
Vice-Chair of Research

International Production Locations

Deutsche Bank AG

Deutsche Bank Place
Level 16
Corner of Hunter & Phillip
Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG

Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG

Filiale Hongkong
International Commerce
Centre,
1 Austin Road West, Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.

1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG

21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.

The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500

Deutsche Bank AG

Filiale Singapur
One Raffles Quay, South
Tower,
Singapore 048583
Tel: +65 6423 8001